

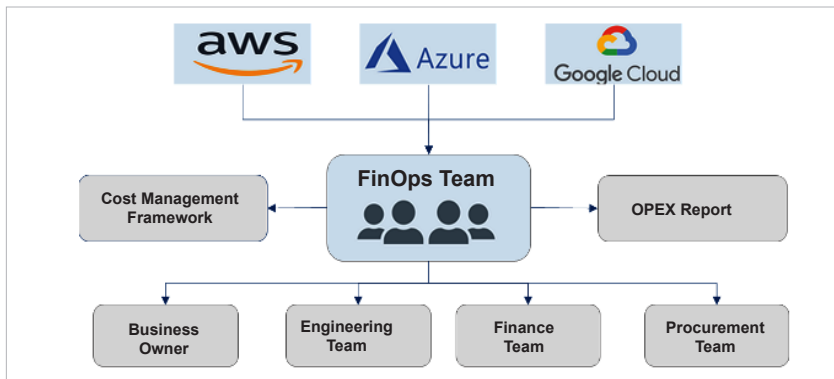


Figure 1: Hierarchical teams involved in cloud cost management

prodigiously. There are several reasons due to which cloud waste occurs, and most of it is due to poor management. If you don't want cloud spending to take a toll on your health, it is time to put proper strategies in place.

Life cycle of cloud cost management

It is important to comprehend cloud cost management to understand the operating expenditure in cloud spend, which includes infrastructure costs like the server, network and storage. FinOps is the term used for cloud cost management, and it not only deals with

operational costs but also the cloud culture and the governance of the cost management service between the business units of the organisations and the team that manages the cloud control tower setup.

Typically, FinOps can be carried out using a customised framework through cloud service provider (CSP) services like resource tagging. FinOps is considered a discipline and cost analytics solution, which can calculate the cost incurred on cloud services. It helps to plan budgets and forecast cloud consumption spending requirements.

FinOps works on three major principles.

Inform: Track and manage costs through comprehensive reports including data filtering for internal consumption share.

Optimise: Prepare budgetary advice to derive optimised options for effective cost management.

Operate: Provide a governance model for managing expenses in cloud services and infrastructure including financial accountability, real-time monitoring and operational improvement.

FinOps works on fundamental services like cost analysis, real-time decision making in cost optimisation, and resource planning based on historical usage.

There are various tools available for tracking cost management like Apptio, Cloud Easier, Iota and Cloudsoft.io. These help to prepare the framework and governance structure around cost management for public clouds like AWS, Azure or GCP as well as private cloud environments.

Cost optimisation, high availability, security and scalability

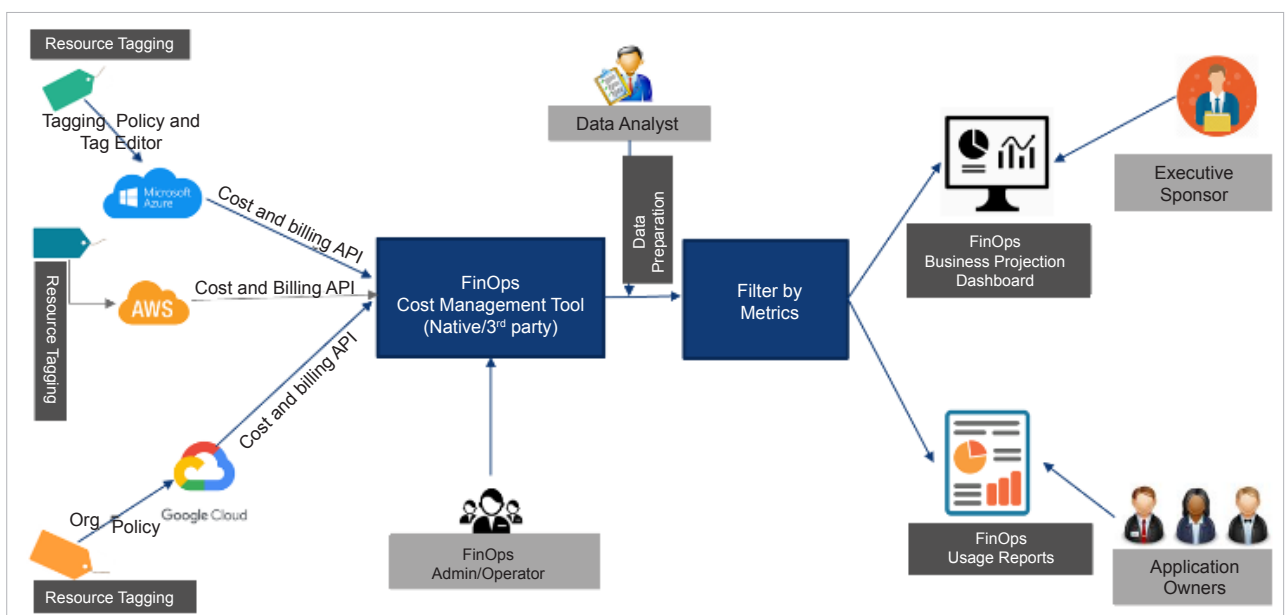


Figure 2: Cloud cost management (FinOps) life cycle